already shown him some fairly substantial capital gains. But now, either because he believes one of his securities should be sold or because some new funds have come his way, such an investor has funds to purchase something new. Unless it is one of those rare years when speculative buying is running riot in the stock market and major economic storm signals are virtually screaming their warnings (as happened in 1928 and 1929), I believe this class of investor should ignore any guesses on the coming trend of general business or the stock market. Instead he should invest the appropriate funds as soon as the suitable buying opportunity arises.

In contrast to guessing which way general business or the stock market may go, he should be able to judge with only a small probability of error what the company into which he wants to buy is going to do in relation to business in general. Therefore he starts off with two advantages. He is making his bet upon something which he knows to be the case, rather than upon something about which he is largely guess-ing. Furthermore, since by definition he is only buying into a situation which for one reason or another is about to have a worthwhile increase in its earning power in the near- or medium-term future, he has a second element of support. Just as his stock would have risen more than the average stock when this new source of earning power became recognized in the market place if business had remained good, so if by bad fortune he has made his new purchase just prior to a general market break this same new source of earnings should prevent these shares from declining quite as much as other stocks of the same general type.

However, many investors are not in the happy position of having a backlog of well-chosen investments bought comfortably below present prices. Perhaps this may be the first time they have funds to invest. Perhaps they may have a portfolio of bonds or relatively static non-growth stocks which at long last they desire to convert into shares that in the future will show them more worthwhile gains. If such investors get possession of new funds or develop a desire to convert to growth stocks after a prolonged period of prosperity and many years of rising stock prices, should they, too, ignore the hazards of a possible business depres-sion? Such an investor would not be in a very happy position if, later on, he realized he had committed all or most of his assets near the top of a long rise or just prior to a major decline.